

(downward breakouts) to the lowest valley in the wedge. For upward breakouts, I use the height of the wedge added to the breakout price.

The bottom portion of the table shows how often these two methods work. Incidentally, if you use half the height to get a prediction for an upward breakout target, it works 77% of the time.

Once you know where the price target is, change the distance into a percentage of the current price and check [Table 74.3](#) to see how often price fails to move beyond the target.

**[Table 74.10](#)** Trading Tactics

| Trading Tactic      | Explanation                                                                                                                                                                                                                                                      |
|---------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Measure rule        | For downward breakouts, the target is the bottom of the wedge. For upward breakouts, subtract the lowest low from the highest high and add it to the breakout price. The result is the target price. The bottom portion of the table shows how often this works. |
| Wait for breakout   | Wait for the breakout (price should close outside the trendline) to improve the chances of a successful trade.                                                                                                                                                   |
| Take profit quickly | Since failures are high and the average rise or decline isn't great, be ready to close out the trade quickly.                                                                                                                                                    |
| Busted trade        | See <a href="#">Table 74.9</a> for guidance. Only trade busted downward breakouts in bull markets.                                                                                                                                                               |

| Description                            | Bull Market, Up Breakout | Bull Market, Down Breakout | Bear Market, Down Breakout |
|----------------------------------------|--------------------------|----------------------------|----------------------------|
| Percentage reaching full height target | 63%                      | 32%                        | 42%                        |

For example, if the distance is \$5 to the target from the current breakout price of \$50, that's a 10% move. [Table 74.3](#) says that in bull markets after upward breakouts, 32% of patterns will fail to see price rise more than 10%. So that gives you an idea of how often the trade will fail (and how many will succeed).